



Chapter 14

Going to Market: Orders and Trades

IN THIS CHAPTER

» Understanding the differences between the primary and secondary markets

» Comparing stock exchanges to the over-the-counter market

» Seeing the role of the broker-dealer

» Looking at order qualifiers

» Getting to know market participants

.....

Part of your function as a registered rep will be to understand and explain to customers (and potential customers) how the stock market works. I designed this chapter with that in mind (along with the fact that you need to know this stuff for the SIE, of course).

In this chapter, I cover the basics of exchanges and the over-the-counter market, along with some of the active participants who help the market run smoothly (at least most of the time). Pay particular attention to the sections “[Talking about order types](#)” and “[Factoring in order features](#),” because you’ll definitely use that information every day after you pass the SIE and co-requisite tests.

Shopping at Primary and Secondary Markets

Depending on whether the securities are new or outstanding, they trade in either the primary or secondary market. This section deals with the differences between the two.

Buying new in the primary market

The primary market (new issue market) is broken down into two categories, depending on whether the company has ever issued securities before. A security that has never been offered or sold to the public is considered a *new issue*. When securities are sold in the primary market, a bulk of the sales proceeds go to the issuer, and the balance goes to the underwriter (who buys the securities from the issuer and sells them to the public). Here are the two types of offerings on the primary market:

- **Initial public offering (IPO):** An IPO is the first time a company ever sells stock to the public to raise money. When a company is in the process of issuing securities for the first time, it's said to be *going public*.
- **Primary offering:** When a company initially offers securities, it usually holds some back for future use; it later pulls those securities out of storage and sells them in a primary offering. For example, a company may be authorized to sell 2 million shares of common stock, but in its initial public offering, it may sell only 800,000. At this point, 1,200,000 new shares remain that have never been offered to the public. One year later, when the company needs to raise additional capital to build a new warehouse, it can sell some of the remaining 1,200,000 shares in a primary offering.

Buying used in the secondary market

When the securities are already trading in the market, the sales proceeds go to another investor instead of to the issuer. The secondary

market, also called the *aftermarket*, consists of four categories (see the following section for info on trading on exchanges versus over-the-counter markets):

- **First market (auction market):** The first market is the trading of listed securities on the exchange floor, such as the New York Stock Exchange (NYSE).
- **Second market (over-the-counter market):** This market is the trading of unlisted securities over-the-counter (by phone or computer).
- **Third market:** The third market is comprised of exchange-listed securities trading over-the-counter (OTC) — traders are calling in their orders or ordering online. All NYSE Amex Equities and NYSE securities and most of the securities listed on other exchanges can be traded OTC.
- **Fourth market:** The fourth market is the trading of securities between institutions without the use of a brokerage firm. Fourth-market trades are typically executed through ECNs (electronic communication networks).



TIP

You're more likely to get a question on the third or fourth market than the first or second.

Making the Trade

After securities are issued publicly, they may trade on an exchange or on the over-the-counter (OTC) market.

Auctioning securities at securities exchanges

Exchanges are auction markets, where bidders and sellers get together to execute trades. I'm sure you've seen movies or TV shows featuring the New York Stock Exchange. It definitely looks very chaotic (and like

it's a good place to have a heart attack or develop an ulcer). However, some sort of order is definitely there: All exchanges have a trading floor where all trades are executed. Each security listed on an exchange has its own *trading post* (location) on the floor where the auction takes place. Brokers looking to purchase shout out and/or make hand signals to indicate the price they're willing to spend to buy a particular security. Sellers, in turn, shout out the price they're willing to sell a security for. If buyers and sellers can come to an agreement, a trade is made.

The main exchange that the SIE tests you on is the New York Stock Exchange (NYSE), but there are others, such as NYSE Amex Equities (formerly the American Stock Exchange [AMEX]), NASDAQ, CBOE (Chicago Board Options Exchange), Boston Stock Exchange, and so on. *Listed securities* are ones that satisfy minimum requirements and are traded on a regional or national exchange like the NYSE. Listed securities may trade on the exchange or in the OTC market.

Although thousands of people may seem to be on the floor of the exchange, you don't need to be aware of too many titles. Most of the people on the floor of the exchange fall into one of three categories:

- **Floor brokers:** These individuals act as agents in executing buy or sell orders on behalf of their firm's customers. A floor broker may also facilitate buying and selling for her firm. Floor brokers receive buy or sell orders from their firms and either transfer the orders to a specialist or trade with another floor broker.
- **Two-dollar brokers (independent brokers):** These people assist floor brokers in getting their orders executed on busy days. (By the way, they're called two-dollar brokers because many, many years ago, they used to receive \$2 per trade. Commissions may have gone up a bit since then.)
- **Designated market makers (DMMs; formerly specialists):** These market professionals manage the auction market trading for a particular security (or for a few securities, if not actively traded).

Negotiating trades over-the-counter

Unlike exchanges, the OTC market is a negotiated market. Instead of yelling out bid and ask prices, traders buy and sell securities by way of telephone or computer transactions. There's no central location for trading OTC securities. Thousands of securities — both listed and unlisted — are traded this way. In fact, *unlisted securities*, which aren't listed on an exchange, can only trade OTC. Unlisted securities are ones that either don't meet the listing requirements of the exchanges or that the corporation decided it didn't want to list for whatever reason.

The OTCBB (Over the Counter Bulletin Board) is a quotation service operated by FINRA for unlisted (non-NASDAQ) securities. Corporations too small to be placed on the OTCBB may still sell their securities in the Pink Market. Corporations on the Pink Market are not required to meet the listing requirements or file with the SEC.



REMEMBER U.S. government and municipal bonds trade only over-the-counter.

Understanding the Role of a Broker-Dealer



REMEMBER I would guesstimate that a large percentage of people like you taking the SIE exam will be working for a broker-dealer. In order for a firm to be considered a broker-dealer, it must buy and sell securities from its own account and act as a middleman for securities not in inventory. Here are the differences between brokers and dealers:

- **Broker:** A firm is acting as a broker when it doesn't use its own inventory to execute a trade. A broker charges a *commission* (sales charge) for acting as a middleman between a buyer and a seller.

For SIE exam purposes, the term *broker* and *agent* may be used interchangeably. A registered representative is sometimes called an agent or stockbroker because he acts as an intermediary between buyers and sellers.

- **Dealer:** A firm is acting as a dealer when it uses its own inventory to execute a trade. When a dealer sells securities to a customer using its own inventory, it charges a *markup* (sales charge). When a dealer buys securities from a customer for its own inventory, it charges a *markdown* (reducing the price a customer receives by charging a sales charge). A firm becomes a dealer in the hopes that the securities it has in its own inventory will increase in price so that the dealer can benefit from the appreciation.

The terms *dealer*, *principal*, and *market maker* may be used interchangeably on the SIE and co-requisite exams.

Capacity refers to whether a firm is acting as a broker or dealer, and it must always be disclosed on the *confirmation* (receipt of trade). If a firm is acting as a broker, the commission always needs to be disclosed on the confirmation. However, if a firm is acting as a dealer, the markup or markdown doesn't always have to be disclosed.



REMEMBER A firm can't act as a broker and a dealer for the same trade. In other words, charging a markup (or markdown) and a commission on the same trade is a violation. (For info on rules and regulations, see [Chapter 16](#).)



TIP To help you remember the differences between a broker and a dealer, think of a real-estate broker. A real-estate broker (or agent) acts as an intermediary between sellers and buyers and charges a commission, just like a stockbroker does. Conversely, a dealer like a

used-car dealer, sells from his own inventory, charges a markup, and buys in the hopes of making a profit on that inventory.

Introducing broker (IB)

Although introducing brokers (IBs) are more commonly referred to in commodities and futures trading, an IB is a person or business that does not actually handle the transactions but just provides investment advice or counsel to investors. In general, an introducing broker will recommend trades to clients while handing over the job of executing the trade to a clearing firm. In general, the IB and the clearing firm that executes the trade split the trading fees and/or commission.

Clearing (carrying) broker

Clearing brokers (clearing firms) handle orders to buy and sell securities. In addition, clearing brokers maintain custody of clients' assets (securities and cash). Clearing firms are responsible for segregating (separating) clients' cash and securities held in their custody.

Prime broker

Prime brokers are used mainly by institutional accounts or large retail clients. Prime brokerage accounts are ones set up for individuals or entities with more complex financial needs. Besides helping the client combine information from all firms they are using into one statement, they also provide services such as lending, leveraged trade execution, and cash management. Often hedge funds use a prime brokerage account.

Receiving Orders from Customers

Here's where the rubber meets the road. You can receive several types of orders from customers along with numerous order qualifiers. This section explains the types of orders and how to execute them.

Talking about order types

You can definitely expect a question or two on the SIE exam relating to orders. The following sections explore the order types.

Market order

A market order is for immediate execution at the best price available. A majority of the orders that you'll receive will be market orders. Here are the varieties they come in:

- **Buy order:** When an investor places a market order to buy, she's not price-specific; the investor purchases the security at the lowest ask price (the lowest price at which someone's willing to sell the security). An investor who's purchasing a security wants the price to increase (after the sale, of course) and is establishing a bullish position.
- **Sell order:** When an investor places a market order to sell, she's not price-specific; she sells the security at the highest bid price (the highest price someone's willing to pay for the security).
- **Selling short:** Selling short occurs when an investor sells securities she doesn't own. The investor is actually borrowing securities from a lender to sell. Here's how it works: Say an investor borrows 100 shares of ABC stock and sells them short at \$40 per share, thus receiving \$4,000. The borrower doesn't owe the lender \$4,000; she owes the lender 100 shares of ABC stock. After a month or two, when ABC is trading at \$20 per share, the borrower can purchase the 100 shares for \$2,000 and return them to the lender, making a nice \$2,000 profit (excluding commission costs). A short seller is bearish (wants the price of the security to decrease). If the price increases instead, the short seller has to buy the stock in the market at a higher price, thus losing money. All short sales must be executed in margin accounts. Short sales are subject to short-sale regulations under Regulation SHO (see the nearby sidebar).

Note: Investors may sell short for *speculation* (believing the price of the security will decrease), *hedging* (protecting a security or several securities in the event of a market decline), or *arbitrage* (taking advantage of a price disparity on the security in different markets).



REMEMBER When you purchase a security, the most you can lose is the amount you invest. When you're short a security, your maximum loss potential is unlimited because the price of the stock could keep climbing, in which case you'd have to spend more money to cover your short position. Additionally, because of the additional risk, all short sales must be executed in a margin account. [Chapter 12](#) tells you a little more about margin accounts.

REGULATION SHO AND SHORT SALES

According to *Regulation SHO*, all order tickets must be marked as *short sale* rather than long sale, which is when a customer is selling securities she owns. Additionally, all brokerage firms must establish rules to locate, borrow, and deliver securities that are to be sold short.

Brokerage firms must be sure that the security can be located and delivered on the date the delivery is due before executing the short sale.

Stop order

A stop order is used for protection; it tries to limit how much an investor can lose. Depending on whether an investor has a long or short stock position, he may enter a buy stop order or a sell stop order:

- **Buy stop orders:** These orders protect a short position (when an investor sells borrowed securities). A buy stop tells you to buy a security if the market price touches a particular price or higher. Investors who are short the stock make money when the price of

the stock decreases; however, if the price increases, they lose money. For example, an investor who's short ABC stock currently trading at \$25 could enter a buy stop order on ABC at \$30. If ABC reaches \$30 or more, the order is triggered and the order becomes a market order for immediate execution at the next price.

- **Sell stop orders:** These orders protect a long position (when an investor purchases stock); they tell you to sell a security if the market price touches a particular price or lower. Investors who are long stock make money when the price of the stock increases; if the price decreases, they lose money. For example, say an investor who is long DEF stock currently trading at \$50 enters a sell stop order on ABC at \$45. If DEF reaches \$45 or below, the order is triggered and the order becomes a market order for immediate execution at the next price, whether higher or lower than \$45.

Limit order

A customer who's specific about the price she wants to spend or receive for a security places a limit order; this order says the customer doesn't want to pay more than a certain amount or sell for less.

Depending on whether an investor is interested in buying or selling, she can enter a buy limit or a sell limit order:

- **Buy limit orders:** Investors who want to purchase a security place these orders. A buy limit order is a directive to buy a particular security at the limit price or lower. For example, suppose DEF stock is trading at \$35 per share but one of your customers doesn't want to pay more than \$30 per share. You could place a buy limit order at \$30. If the price of DEF ever reaches \$30 or less, chances are good that your customer will end up with the stock.
- **Sell limit orders:** Investors who want to sell a security place sell limit orders. A sell limit order is a directive to sell a particular security at the limit price or higher. For example, suppose one of your customers owns LMN stock, which is currently trading at \$62 per share, but he wants to receive at least \$70 per share if he's going to

sell it. This customer could place a sell limit on LMN at \$70 per share. If LMN touches or goes above \$70 per share, chances are good that the stock will be sold.

Stop limit order

A *stop limit order* is a combination of a stop and limit order (see the preceding sections); it's a buy stop or sell stop order that becomes a limit order after the stop price is reached. For example, an order that reads "sell 1,000 HIJ at 41 stop, 40.75 limit" means that the sell stop order will be triggered as soon as HIJ reaches \$41 or below (the stop price). If this were just a stop order, the stock would be sold on the next trade (no matter what the price). But because this is a stop limit order, after the order is triggered, it becomes a limit order to buy at \$40.75 or above (the limit price). In other words, this customer is interested in selling her stock if it drops to \$41 but wants to receive at least \$40.75 per share.



REMEMBER Because stop and limit orders are price-specific, they may or may not be executed. Additionally, even if limit orders do reach or surpass the limit price, the order may not be executed if more orders were placed ahead of the investor's.

SELLING SHORT AGAINST THE BOX

Selling short or *shorting against the box* is when an investor sells short a security that she already owns. This type of sale typically happens when an investor wants to sell a security at the current price but can't get possession of her securities right away because she's traveling or whatever. By selling short against the box, the investor is locking in the price of the security because no matter which way it goes, she will

be offsetting a gain or loss on the securities owned with a loss or gain on the securities sold short.

Factoring in order features

Besides knowing the basic types of orders (market, stop, and limit — see “[Talking about order types](#)”), you should have a handle on some additional features that may be added to the order to make your customers happy. A lot of them exist, but for the most part, the name of the order feature pretty much explains what it is:

- **Day:** If a day order hasn’t been filled by the end of the trading day, it’s canceled. All price-specific orders (stop and limit) are assumed to be day orders unless marked to the contrary. Most of the orders you’ll receive will be market orders for immediate execution at the best price available (highest bid and lowest ask prices).
- **Good-till-canceled (GTC):** Good-till-canceled orders are also called *open orders* because the order is kept open until executed or canceled. For example, say that an investor wants to purchase ABC stock at \$30. While the price of ABC is at \$35, she enters an open buy limit order for ABC at \$30. If the price of ABC ever hits \$30 or below, the order will likely be executed; however, if the price of ABC never hits \$30 or below, the order stays open until canceled.
Note: An investor may specify that she wants the order canceled next week, next month, in two months, and so on. Many exchanges no longer take GTC orders but customers can place them with their broker-dealers and they will handle it internally. In actual practice, because customers may forget about their GTC orders, many broker-dealers will set them to expire in 30 days, 60 days, 90 days, and so on.
- **Not held (NH):** This order gives the broker discretion about when to execute the trade. Typically, investors use not held orders when the broker believes she can get the customer a better price later in the day.

Not held orders deal only with timing. For registered reps to choose the security, number of shares, and/or whether to buy or sell, the customer needs to open a discretionary account, which requires a written power of attorney. See “Discretionary versus non-discretionary accounts,” later in this chapter, for details.

- **Fill or kill (FOK):** This order instructs a floor broker either to immediately execute an entire order at the limit price or better, or to cancel it.
- **Immediate or cancel (IOC):** These limit orders are similar to FOK orders except that the order may be partially filled. Any portion of the order that’s not completed is canceled.
- **All or none (AON):** These limit orders have to be executed either in their entirety or not at all. AON orders don’t have to be filled immediately (several attempts to fill the order completely are allowed) and may be day orders or good-till-canceled orders.
- **At the open:** These orders are to be executed at the security’s opening price. At the open orders can be market or limit orders, but if they aren’t executed at the opening price, they’re canceled. These orders allow for partial execution.
- **At the close (market on close):** This order is to be executed at the closing price (or as near as possible). If this order isn’t completed, it’s canceled.
- **Do not reduce (DNR):** This order says not to reduce the price of a stop or limit order in response to a dividend. For example, say that QRS stock is currently trading at \$50 on the day prior to the ex-dividend date. If QRS previously announced a \$0.50 dividend, the next day’s opening price would be \$49.50. If a customer had placed a DNR limit order to buy 1,000 shares of QRS at \$45, the order wouldn’t be reduced by the \$0.50 dividend.
- **Alternative:** The alternative order is also known as a *one cancels the other order* or an *either/or order*. This type of order instructs the broker to execute one of two orders and then cancel the other. For example, say Mr. Smith owns stock at \$60 per share. He enters a sell stop order at \$55 for protection and a sell limit order at \$70 in

the event that the stock price increases. If one of the orders is executed, the other order is canceled immediately.

- **Bid wanted:** This order is an indication or notice that an investor or broker-dealer wants to sell a security at a specific price. Bid wanted is used most often when no current buyers of a security are available.
- **Offer wanted:** This order is an indication or notice that an investor or a broker-dealer wants to buy a particular security at a specific price. Offer wanted is used particularly when no current sellers of a security are available.

Discretionary versus non-discretionary orders

To be sure, most of the orders you will receive from your clients will be non-discretionary orders. For example, if one of your clients tells you to purchase 100 shares of ABC common stock, he is giving you a non-discretionary order. It is non-discretionary because he is giving you all the components of an order: purchase or sell, how many shares or dollar amount, and what security. If the client does not provide that information, it is considered discretionary, meaning that you must use your discretion. Here are some examples of discretionary orders:

- “Buy or sell 100 shares of ABC common stock”
- “Buy as many shares of ABC common stock as you think I should”
- “Buy 100 shares of pharmaceutical stock”



REMEMBER Discretionary orders may be executed by a registered rep or brokerage firm without prior verbal permission from the client. Because they don't require verbal approval, the registered rep is required to have a written power of attorney signed by the customer prior to executing any discretionary orders. The power of attorney remains in effect until the account is closed or it is removed by the

client. As you can imagine, discretionary orders must be marked as such on the order ticket. In addition, these accounts must be closely watched by a principal of the firm to make sure that there's no excessive trading (churning) for the purpose of generating commission.

**TIP**

A client may give you approval to place the order at a later time in the day without discretionary authority. Say a client tells you to purchase 100 shares of DIM stock at the market price. You may tell your client that you believe that the price will drop later in the day and you might be able to get him a better price. This is allowed as long as the customer gives verbal approval, and it's not considered a discretionary order.

Solicited versus unsolicited orders

As with non-discretionary orders, most of the orders you receive from clients will be solicited by you, meaning that you may call up one of your clients and say, "DEF Corporation seems to be on the move, so I think it would be wise for you to buy 100 shares of DEF common stock." Because you called and suggested what the client should buy (or sell), you actually solicited that order.

Unsolicited orders are ones in which your client tells you what he wants to buy or sell. You may not think that this is the best idea for him and may tell him that, but you are not going to turn down the order and lose commission. In this case, because it was not your suggestion, you need to mark the order ticket in the box that says "unsolicited." This basically takes you off the hook in the event that the client loses money.



REMEMBER No matter what the type of order, your job and your firm's job is to get your customers the best price available for their orders. As such, your customers orders cannot be split into multiple smaller orders for execution with the primary purpose of maximizing the amount of money (credits, commissions, gratuities, fees, and so on) that you or your firm make. In addition, “reasonable diligence” must be used to get the customer the best price. Here are some of the factors involved to determine if reasonable diligence was used: the price of the security, the volatility of the security, the liquidity of the security, the size and type of transaction, the number of markets checked, and accessibility of the quotation.

Looking at Market Participants

As a financial professional, you'll be working with all different types of investors: some smaller investors, some larger investors, corporations, and so on. Part of the SIE exam is knowing that you understand who's who when it comes to these different types of investors.

Retail investors

You are more likely to deal with retail investors than accredited or institutional investors. These guys (or gals) are nonprofessionals who trade (buy or sell) for their own accounts. Retail investors typically purchase or sell a much smaller amount of securities than accredited or institutional investors.

Accredited investors

Some investors just have access to more money than others do. The bigger guys or gals are called accredited investors. As such, they are typically able to handle more risk than retail investors. Accredited investors include

- Financial institutions (banks, insurance companies, pension funds, and so on)
- Insiders (officers, directors, or owners of 10 percent or more of the outstanding shares of the corporation and their immediate family members)
- Investors who have an annual income of at least \$200,000 (joint \$300,000) for the previous two years and are expected to meet that requirement this year
- Investors who have a net worth of at least \$1 million excluding primary residence
- Corporations, partnerships, or organizations with a net worth of at least \$5 million

Institutional investors

Institutional investors are the big guys. They are the ones that invest a lot of money on behalf of their entity. They are generally considered to be knowledgeable about the market. Institutional investors include

- Commercial banks
- Mutual funds
- Pension funds
- Insurance companies
- Real-estate investment trusts
- Hedge funds
- Endowment funds

DEPOSITORY TRUST AND CLEARING CORPORATION (DTCC)

The DTCC provides safeguards to the world's financial markets. Its role is to provide clearing, settlement, institutional matching, asset servicing, collateral management, global data management, information services, and so for equity securities, corporate bonds, municipal bonds, government securities, mortgage-backed securities, mutual funds, money market instruments, derivatives, and so on. The DTCC is abso-

lutely massive and processes more than 100 million financial transactions each trading day. Its key roles are to provide reliability to the global financial system, to provide after-trade services, to limit risk, to lower cost, to provide transparency, and to promote greater market efficiency. The services offered by the DTCC are

- Clearing services
 - Matching, settlement, and asset services
 - Collateral management
 - Wealth management services
 - Derivative services
 - Data services
-